

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 HOUSE BILL 4428

 By: Hilbert of the House

5 and

6 **Daniels** of the Senate

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8
9 AS INTRODUCED

10 An Act relating to public finance; defining terms;
11 directing Board of Trustees to vote with
12 consideration of certain factors; requiring that
13 exercise of shareholder votes or introduction of a
14 proxy proposal be based on pecuniary factors;
15 providing exception; requiring the Board to retain
16 the authority to exercise shareholder proxy rights
17 for certain shares; providing exception; directing
18 the Board to produce report; directing Board to
19 publish report on website by certain date; providing
20 for codification; and providing an effective date.

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23 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

24 SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 9101 of Title 62, unless there
is created a duplication in numbering, reads as follows:

 As used in this act:

1. "Company" means a publicly traded, for-profit corporation,
limited liability company, partnership, or other business entity;

1 2. "Company proposal" means any proposal made by a company to
2 its shareholders that is included in the company's proxy statement,
3 including, but not limited to, a proposal relating to director
4 nominations or elections, executive compensation, corporate
5 transactions, corporate structure, auditor selection, or company
6 policy on any subject;

7 3. "Default recommendation or policy" means a system, set of
8 rules, principles, or guidelines designed to assist with voting
9 decisions on any company proposals or proxy proposals;

10 4. "Pecuniary factor":

11 a. means a factor that a prudent person in a like
12 capacity would reasonably believe has a material
13 effect or impact on the financial risk or return on an
14 investment, based on an appropriate investment horizon
15 consistent with a retirement system's investment
16 objectives and funding policy, and

17 b. does not include "nonpecuniary factors", which is any
18 factor or consideration that is collateral to or not
19 reasonably likely to affect or impact the financial
20 risk and return of the investment and include, but are
21 not limited to, the promotion, furtherance, or
22 achievement of environmental, social, or political
23 goals, objectives, or outcomes;

1 5. "Pension benefit plan" or "plan" shall mean any plan, fund,
2 or program which was heretofore or is hereafter established,
3 maintained, or offered by the State of Oklahoma or any subdivision,
4 county, municipality, agency, or instrumentality thereof, or any
5 school, college, university, administration, authority, or other
6 enterprise operated by the State of Oklahoma, to the extent that by
7 its terms or as a result of surrounding circumstances:

8 a. provides retirement income or other retirement
9 benefits to employees or former employees, or

10 b. results in a deferral of income by such employees for
11 a period extending to the termination of covered
12 employment or beyond, and

13 c. the term does not include a defined contribution plan
14 under the Retirement Freedom Act, established pursuant
15 to Section 935.1 et seq. of Title 74 of the Oklahoma
16 Statutes, except that investment options selected as
17 default investment options for participating employees
18 shall be selected in adherence to the requirements of
19 this act;

20 6. "Proxy advisor" means a person who, for compensation,
21 provides a proxy advisory service to shareholders of a company or to
22 other persons with authority to vote on behalf of shareholders of a
23 company;
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1 7. "Proxy advisory service" means any of the following services
2 that are provided in connection with or in relation to a company:

- 3 a. advice or a recommendation on how to vote on a proxy
4 proposal or company proposal,
- 5 b. proxy statement research and analysis regarding a
6 proxy proposal or company proposal,
- 7 c. a rating or research regarding corporate governance at
8 one or more companies, or
- 9 d. development of proxy voting recommendations or
10 policies, including establishing default
11 recommendations or policies; and

12 8. "Proxy proposal" means any proposal made by a shareholder of
13 a company that is included in the company's proxy statement,
14 including, but not limited to, a proposal relating to any of the
15 subjects that could be covered by a company proposal.

16 SECTION 2. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 9102 of Title 62, unless there
18 is created a duplication in numbering, reads as follows:

19 A. The respective Board of Trustees of any pension benefit plan
20 shall vote on company proposals and proxy proposals in a manner that
21 is:

- 22 1. In keeping with its fiduciary duties;
- 23 2. Solely based on pecuniary factors; and

1 3. For the sole purpose of maximizing shareholder value over an
2 appropriate investment horizon.

3 B. Any engagement between the Board of Trustees and a company
4 regarding the exercise of shareholder votes or the introduction of a
5 proxy proposal must be based solely on pecuniary factors and for the
6 sole purpose of maximizing shareholder value, except that the Board
7 of Trustees may engage with a company to express opposition to a
8 company proposal or proxy proposal that does not have a pecuniary
9 impact.

10 C. To the extent that it is economically practicable, the Board
11 of Trustees must retain the authority to exercise shareholder proxy
12 rights for shares that are owned directly or indirectly on behalf of
13 a system.

14 The Board of Trustees may retain a proxy advisor to assist the
15 Board of Trustees in exercising shareholder proxy rights, but only
16 if the proxy advisor has a practice of following, and commits in
17 writing to follow, proxy guidelines that are consistent with the
18 requirements of subsection A of this section for each of its proxy
19 advisory services.

20 D. The Board of Trustees shall produce an annual report
21 tabulating and describing all of the shareholder votes cast by the
22 Board or the Board's fiduciaries. For each shareholder vote cast
23 during a calendar year, the report required by this subsection shall
24 contain a vote caption, the Board's or the fiduciary's vote, the

1 recommendation of company management, and, if applicable, the proxy
2 advisor or other service provider's recommendation. The Board shall
3 publish the report required by this subsection on the Board's
4 website no later than March 1 of the calendar year following the
5 calendar year addressed in the report.

6 SECTION 3. This act shall become effective November 1, 2026.
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8 COMMITTEE REPORT BY: COMMITTEE ON GOVERNMENT OVERSIGHT, dated
9 03/05/2026 - DO PASS, As Amended and Coauthored.
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